

Cost Segregation and Eligible Basis Report: Cottonwood Solar I

Report date: August 28, 2026
Prepared for: Cottonwood Solar I, LLC
Basis: EPC contract, change orders through July 31, 2026, owner costs

1. Summary of Conclusions

Based on our review of project cost records, we estimate total project costs of \$151,900,000, of which \$136,400,000 is eligible basis for purposes of the Section 48E credit.

Category	Amount (USD)	Treatment
Solar energy property (modules, racking, inverters, DC/AC collection)	\$121,750,000	Eligible
Allocable soft costs (engineering, development fee, capitalized interest)	\$14,650,000	Eligible
Interconnection network upgrades (utility-owned)	\$5,600,000	Excluded
Land, roads, fencing, transmission line	\$9,900,000	Excluded
Total project cost	\$151,900,000	
Total eligible basis	\$136,400,000	

2. Change from Prior Estimate

The sponsor's preliminary model included interconnection network upgrades of \$5,600,000 in eligible basis. Network upgrades are owned by the interconnecting utility and are not energy property of the taxpayer; we have excluded them. This is the principal driver of the difference from the \$142,000,000 preliminary estimate.

3. Limitations

Final eligible basis will be certified after the placed-in-service date. Figures may change with final change orders.